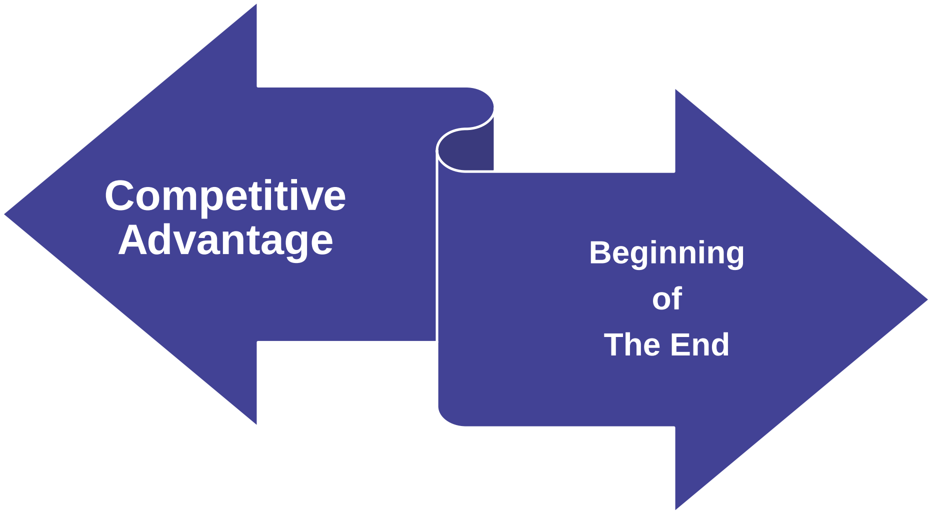

Competitive Advantage
Beginning
of
The End


Most strategic planning exercises are budgeting in a Halloween costume!
Rita McGrath
BESTSELLING AUTHOR OF
THE END OF COMPETITIVE ADVANTAGE
and SEEING AROUND CORNERS

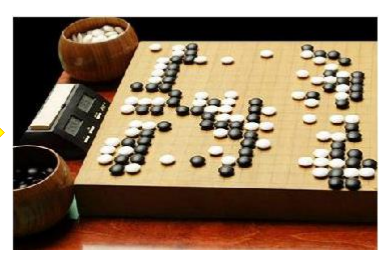
Is Your Company Trapped in a Competitive Advantage?

Focused on extending existing advantages	Scale	Capable of coping with transient advantages
Budget, people, and other resources are largely controlled by heads of established businesses.	1 2 3 4 5 6 7	Critical resources are controlled by a separate group from those who run businesses.
We tend to extend our established advantages if we possibly can.	1 2 3 4 5 6 7	We tend to move out of an established advantage early, with the goal of moving on to something new.
We don't have a systematic process for disengaging from a business.	1 2 3 4 5 6 7	We have a systematic way of exiting businesses.
Disengagements tend to be painful and difficult.	1 2 3 4 5 6 7	Disengagements are just part of the normal business cycle.
We try to avoid failures, even in uncertain situations.	1 2 3 4 5 6 7	We recognize that failures are unavoidable and try to learn from them.
We budget annually or for even longer.	1 2 3 4 5 6 7	We budget in quick cycles, either quarterly or on a rolling basis.
We like to stick to plans once they are formulated.	1 2 3 4 5 6 7	We are comfortable with changing our plans as new information comes in.
We emphasize optimization in our approach to asset utilization.	1 2 3 4 5 6 7	We emphasize flexibility in our approach to asset utilization.
Innovation is an on-again, off-again process.	1 2 3 4 5 6 7	Innovation is systematic, a core process for us.
It is difficult for us to pull resources from a successful business to fund more uncertain opportunities.	1 2 3 4 5 6 7	It is quite normal for us to pull resources from a successful business to fund more uncertain opportunities.
Our best talent spends most of their time solving problems and handling crises.	1 2 3 4 5 6 7	Our best talent spends most of their time working on new opportunities for our organization.
We try to keep our organizational structure relatively stable and to fit new ideas into the existing structure.	1 2 3 4 5 6 7	We reorganize when new opportunities require a different structure.
We tend to emphasize analysis over experimentation.	1 2 3 4 5 6 7	We tend to emphasize experimentation over analysis.
It isn't easy to be candid with our senior leaders when something goes wrong.	1 2 3 4 5 6 7	We find it very easy to be candid with senior leaders when something goes wrong.

Industry vs Arena

- Arenas are characterized by particular connections between customers and solutions, not by the conventional description of offerings that are near substitutes for one another.
- Battles are fought in particular geographic locations, with particular equipment, to beat particular rivals. Business strategies need to be formulated with that level of precision.
- The driver of categorization will in all likelihood be the outcomes that particular customers seek ("jobs to be done") and the alternative ways those outcomes might be met. Most substantial threats to a given advantage are likely to arise from a peripheral or nonobvious location.

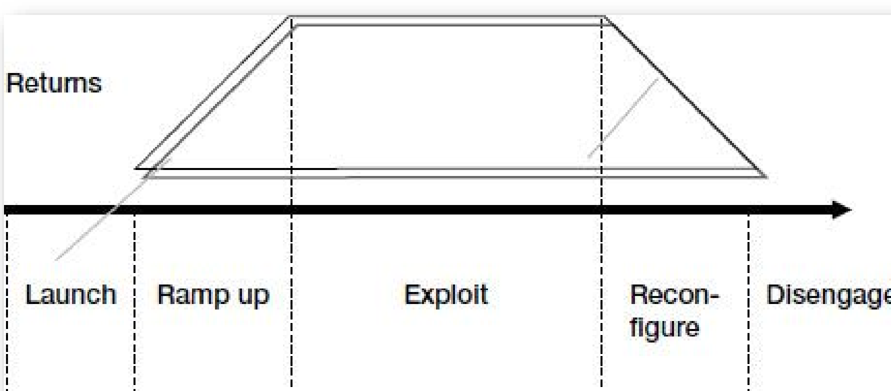
Chess vs Go



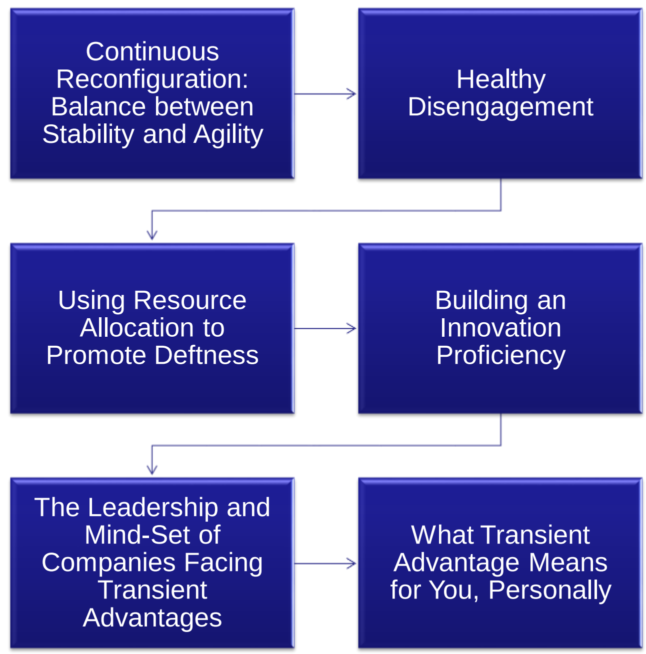
Industry vs Arena

	Industry	Arena
Goal	Positional advantage	Capturing territory
Measure of success	Market share	Share of potential opportunity spaces
Biggest threat	Intraindustry competitive moves	Interindustry moves; disruption of existing model
Definition of customer segment	Demographic or geographic	Behavioral
Key drivers	Comparative price, functionality, quality	"Jobs to be done" in total customer experience
Likely acquisition behavior	Within-industry consolidation or beyond-industry diversification	Bolt-on for new capability acquisition, often across industry boundaries
Metaphor	Chess	Japanese game of Go

Wave of Transient Advantage



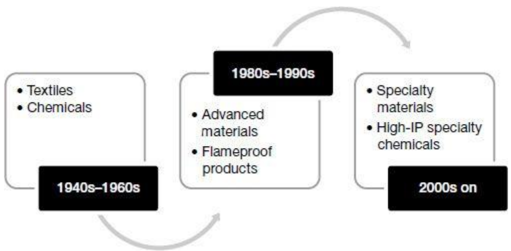
The New Strategy Playbook



New Strategy Playbook: Reconfiguration (1/6)

From	To
Extreme downsizing and restructuring	Continuous morphing and changing
Bulk of emphasis on arenas in exploitation phase	Equal emphasis on all phases of a competitive life cycle within an arena
Stability or dynamism alone	Stability combined with dynamism
Narrowly defined jobs and roles	Fluidity in allocation of talent
Stable vision, monolithic execution	Stable vision, variety in execution

Milliken's reconfiguration path



RECONFIGURATION

- Escaping the Competitive Advantage Trap
- Growth Outliers: Equal Emphasis on the Entire Wave Rather Than Focus on Exploitation Alone
- Sources of Stability and Agility
- Paradoxical Combination of Stability and Agility in Continuous Reconfiguration

New Strategy Playbook: Disengagement (2/6)

From	To
Defending an advantage to the bitter end	Ending advantages frequently, formally, and systematically
Exits viewed as strategically undesirable	Emphasis on retaining learning from exits
Exits occur unexpectedly and with great drama	Exits occur in a steady rhythm
Focus on objective facts	Focus on subjective early warnings

DISENGAGEMENT

- Early Warnings of Decline
- Who Makes the Exit Decision?
- Not All Final Curtains Are the Same
- Disengagement Strategy: Selection

Disengagement Strategies

	Capability is core to the future of the business	Capability has value, but not for us	Capability is in decline
Relatively little time pressure	**Orderly migration** Transition aspects of the business from today's configuration to tomorrow's	**Garage sale** Get reasonable prices for assets we are no longer interested in	**Run-off** Be well paid to maintain support for customers while decreasing investment
Intense time pressure	**Hail Mary** Divest formerly core capabilities and find a solution to migrate to the new core fast	**Fire sale** Sell noncore assets we are no longer in a position to exploit	**Last man standing** Spark consolidation or otherwise try for a profitable end-game position

New Strategy Playbook: Resources and Organization (3/6)

From	To
Resources held hostage in business units	Resources under a central governance mechanism
Squeezing opportunities into the existing structure	Organizing around opportunities
Attempts to extend the useful life of assets for as long as possible	Aggressive and proactive retirement of competitively obsolete assets
Terminal value	Asset debt
Capital budgeting mind-set	Real options mind-set—variable costs, flexible investments
Investment-intensive strategic initiatives	Parsimony, parsimony, parsimony
Ownership is key	Access is key
Build it yourself	Leverage external resources

RESOURCES AND ORGANIZATION

- The Resources as Hostage Problem
- Run Nonnegotiable Legacy Assets for Efficiency
- Proactively Retire Assets That Are No Longer at the Competitive Edge
- Configure the Organization to the Opportunity, Not the Other Way Around
- Access to Assets, Not Ownership of Assets

	1960s				2010s
Computer infrastructure	Mainframes	Minicomputers	AS/400	PCs and laptops	PDA phones
Computer platform	1/Company	1/Location	1/Deck	1/Person	Ubiquitous
Networking	Tapes and disks	Hard-wired	Individual corporate networks	LANs, internet	WANs, wireless
Computer languages	Assembly language and COBOL	Assembly language and COBOL	FORTRAN, PL Pascal	Visual Basic, Perl, JavaScript, C	Web
Data	VSAM	Information management systems	Relational databases	World Wide Web	Cloud
Telephony	Few; calls through switchboards	PBX office	First cell phones appear	Cell phones proliferate	VoIP; corporate voice mail disappears

Accenture: Exits

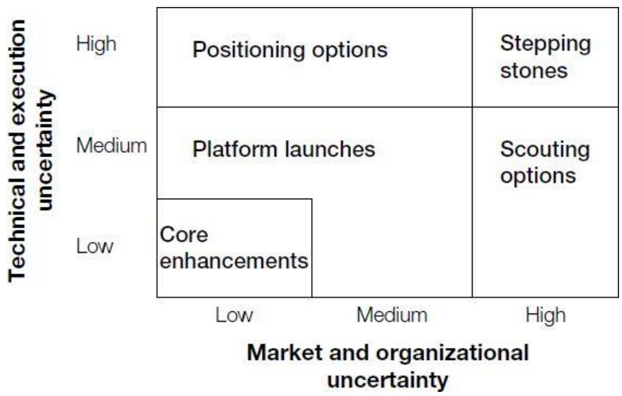
New Strategy Playbook: Innovation Proficiency (4/6)

From	To
Innovation is episodic	Innovation is an ongoing, systematic process
Governance and budgeting done the same way across the business	Governance and budgeting for innovation separate from business as usual
Resources devoted primarily to exploitation	A balanced portfolio of initiatives that support the core, build new platforms, and invest in options
People work on innovation in addition to their day jobs	Resources dedicated to innovation activities
Failure to test assumptions; relatively little learning	Assumptions continually tested; learning informs major business decisions
Failures avoided and undiscussable	Intelligent failures encouraged
Planning orientation	Experimental orientation
Begin with our offerings and innovate to extend them to new areas	Begin with customers and innovate to help them get their jobs done

INNOVATION PROFICIENCY

- Step 1: Assess the Current State of Things and Define the Growth Gap
- Step 2: Get Senior Management Alignment and Resource Commitment
- Step 3: Set Up an Innovation Governance Process
- Step 4: Start Building a System and Introducing it to the Organization
- Step 5: Start Off with Something Tangible and Real
- Step 6: Create the Supporting Structures for Innovation

An opportunity portfolio



New Strategy Playbook: Mindset (5/6)

From	To
Assumption that existing advantages will persist	Assumption that existing advantages will come under pressure
Conversations that reinforce existing perspectives	Conversations that candidly question the status quo
Relatively few and homogenous people involved in strategy process	Broader constituencies involved in strategy process, with diverse inputs
Precise but slow	Fast and roughly right
Prediction oriented	Discovery driven
NPV oriented	Options oriented
Seeking confirmation	Seeking disconfirmation
Internally focused on optimization	Aggressively focused on the external world
Talent directed to solving problems	Talent directed to identifying and seizing opportunities
Extending a trajectory	Promoting continual shifts
Accepting a failing trajectory	Picking oneself up fast

MINDSET

- Will Existing Advantages Remain? A Moment of Truth
- Seeking Out the Tough-to-Hear Information
- Reinvigorating the Core Business
- You Can't Manage a Secret: Seek Disconfirmation Rather Than Confirmation
- Fast and Roughly Right Rather Than Precise but Slow
- Escaping NPV Tyranny: Prototype to Learn
- Reigniting the Growth Engine`

Alcoa Split Into Two Companies (2016)

- Parent company, renamed as **Arconic**, focus on aerospace, automotive, transportation, and building and construction markets
- The mining, refining and smelting operations will be spun off into a company that would keep the **Alcoa** name.

Arconic Split Into Two Companies (2019)

- The new **Arconic** Corporation will be focused on rolled aluminum products and **Howmet Aerospace** (renamed parent company) on engineered products.

New Strategy Playbook: Making it Personal (6/6)

From	To
Organizational systems	Individual skills
A stable career path	A series of gigs
Hierarchies and teams	Individual superstars
Infrequent job hunting	Permanent career campaigns
Careers managed by the organization	Careers managed by the individual

How prepared are you for the transient-advantage economy?

Question	Answer
If my current employer let me go, it would be relatively easy to find a similar role in another organization for equivalent compensation.	Yes/No
If I lost my job today, I am well prepared and know immediately what I would do next.	Yes/No
I've worked in some meaningful capacity (employment, consulting, volunteering, partnering) with at least five different organizations within the last two years.	Yes/No
I've learned a meaningful new skill that I didn't have before in the last two years, whether it is work related or not.	Yes/No
I've attended a course or training program within the last two years, either in person or virtually.	Yes/No
I could name, off the top of my head, at least ten people who would be good leads for new opportunities.	Yes/No
I actively engage with at least two professional or personal networks.	Yes/No
I have enough resources (savings or other) that I could take the time to retrain, work for a small salary, or volunteer in order to get access to a new opportunity.	Yes/No
I can make income from a variety of activities, not just my salary.	Yes/No
I am able to relocate or travel to find new opportunities.	Yes/No

PERSONAL

- ❑ Competitive Advantage: Power to the People
- ❑ Personal Assets Matter More Than Organizational Ones
- ❑ How Vulnerable Are You?

Early Warnings of Fading Advantage

The More of These, the Worse Things Are

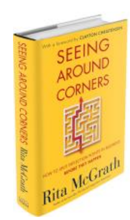
- ❑ I don't buy my own company's products or services.
- ❑ We are investing at the same levels or even more and not getting margins or growth in return.
- ❑ Customers are finding cheaper or simpler solutions that are "good enough."
- ❑ Competition is emerging from places we didn't expect.
- ❑ Customers are no longer excited about what we have to offer.
- ❑ We are not considered a top place to work by the people we would like to hire.
- ❑ Some of our very best people are leaving.
- ❑ Our stock is perpetually undervalued.
- ❑ Our technical people (scientists and engineers, for instance) are predicting that a new technology will change our business.
- ❑ We are not being targeted by headhunters for talent.
- ❑ The growth trajectory has slowed or reversed.
- ❑ Very few innovations have made it successfully to market in the last two years.
- ❑ The company is cutting back on benefits or pushing more risk to employees.
- ❑ Management is denying the importance of potential bad news.

What Should You Look for in an Executive Education Program?

An Opinionated List

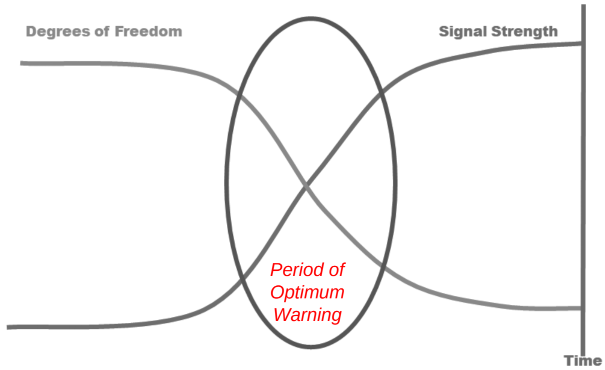
- ❑ A dedicated faculty director or designer who is on-site throughout your learning experience
- ❑ The opportunity to apply what you are learning to your own situation
- ❑ A diverse mix of participants from different countries, regions, and industries
- ❑ An appropriate level of participant experience (you don't want a huge disparity in experience levels)
- ❑ An up-to-date curriculum with current examples
- ❑ Appropriate use of technology to support your learning (web pages, apps, etc.)
- ❑ Help in getting prepared for the course and in following up afterward
- ❑ A mix of learning styles in the content - some action oriented, some more reflective, some designed with a specific goal in mind
- ❑ Enough downtime to reflect and apply new knowledge
- ❑ Diversity in the faculty presenting
- ❑ Experience of the institution offering the course (there is a pretty steep learning curve)

Seeing What is Going on Along the Edges



1. Ensure direct connection between the people at the edges of your company and the people making strategy.
2. Go out of your way to include diverse perspectives in thinking about the implications of the future.
3. Use deliberate decision-making processes for consequential and irreversible (type 1) decisions. Use small, agile, empowered teams for reversible (type 2) experimental decisions.
4. Foster little bets that are rich in learning, ideally distributed across the organization.
5. Pursue direct contact with the environment - "get out of the building."
6. Make sure your people are incentivized to hear about reality, not the reverse.
7. Realize when your people are in denial.
8. Expose yourself and your organization to where the future is unfolding today.

Early Warnings



- In the early stages the signals are weak. The signal-to-noise ratio is quite high, and it would be a mistake to make any big strategic move at this point, because there is still an enormous amount of uncertainty.
- The relationship between strategic degrees of freedom and signal strength is practically inverse. The moment at which you have the richest, most trustworthy information is often the moment at which you have the least power to change the story told by that information.
- You need a way to get information with respect to what is sometimes called the *period of optimum warning*, around the middle of the chart.

Lookout for Weak Signals: Defining Your Arena

THE ARENA MAP (Template)

	Today's Assumptions	Potential Shifts	Future Possibilities
Resource pool			
Contestants			
Stakeholders and their most important jobs to be done			
The consumption chains that deliver these jobs			
The attributes stakeholders experience			
Organizational capabilities and assets			

THE ARENA MAP (The Shrinking Shaving Business)			
	Today's Assumptions	Potential Shifts	Future Possibilities
Resource pool	Men's spending on Personal grooming, in particular on shaving.	Social shifts to make daily shaving less essential to younger generation; willingness to grow beards Greater price sensitivity	Resources devoted to entire category might be in decline
Contestants	<u>Shares</u> ▪ Gillette: 70% ▪ Schick: 20% ▪ Others: very small	Digital enables creation of direct-to-consumer market	Explosion of competition even in a shrinking market
Stakeholders and their most important jobs to be done	Three types of shavers: ▪ Ritualistic, get the job done at high quality ▪ Begrudging, get the job done quickly and cheaply ▪ Aesthetic, focus on the look and emotion	Shaving itself losing relevance to many men in favor of a different look - the job is shrinking in importance	Consider running a smaller business more efficiently Find ways to open the market to more demand

THE ARENA MAP (The Shrinking Shaving Business)			
	Today's Assumptions	Potential Shifts	Future Possibilities
The consumption chains that deliver these jobs (awareness, search, selection, contracting payment, etc.)	Sales through retail channels	Digitally enabled platforms make other channels possible	Direct-to-consumer becomes popular
The attributes stakeholders experience	+ Decent shave – "Razor fortress" – Expense ? Differentiation ? More blades = better	Sources of differentiation have eroded for Gillette Men are finding other razors good enough Global supply made by few manufacturers	Adding more blades is not going to be differentiating; may require a really disruptive strategy
Organizational capabilities and assets	Huge spending on both R&D and marketing Relationships mediated by retail channels	Probably need to change the mix	Be a controlled cost player

Customers, Not Hostages

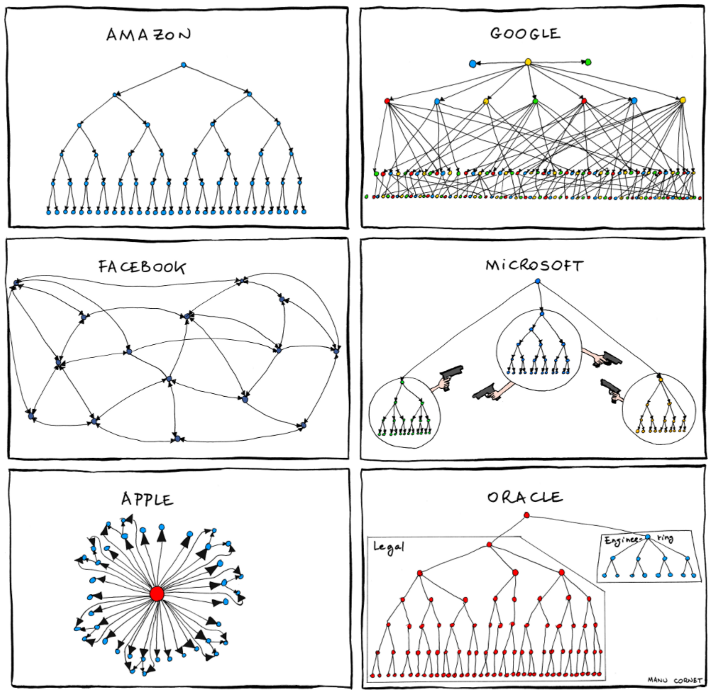
When…	I want to…	So I can…
Situation	**Motivation**	**Outcome**
I need to get somewhere that is too far to walk and I don't have the use of a car	Successfully arrange a trip	Get from point A to point B with a minimum of expense, hassle, and complexity

Consumption Chain Link	Conventional Taxi Practices	Negative Attributes / Customer Pain Points
Booking a ride	▪ Call central dispatch ▪ Hail on a street corner ▪ Arrange limo beforehand ▪ Go to a taxi stand	▪ Unreliable; ▪ Not available where I am ▪ Long wait times ▪ Drivers discriminate
Taking a ride	▪ Uneven experience ▪ Dirty cars ▪ Driver on cell phone ▪ Old vehicles ▪ No temperature control ▪ Wild driving	▪ Unpleasant environment in general
Paying for the ride	▪ Use cash ▪ Use credit card in cab ▪ Ask for receipt	▪ Driver doesn't accept credit cards ▪ Driver doesn't carry change ▪ Long wait for receipt to process with expense account

Customers, Not Hostages

Negative Attributes / Customer Pain Points	Why Is It This Way?	How Might It Be Changed?
▪ Unreliable ▪ Not available where I am ▪ Long wait times ▪ Drivers discriminate	Economies of central dispatch: it isn't economical to have a fleet of vehicles widely distributed	App to connect drivers and riders who are geographically dispersed
▪ Unpleasant environment in general	No sanctions for an unpleasant experience- monopoly conditions	Ratings system in which riders rate their rides and drivers rate their riders
▪ Driver doesn't accept credit cards ▪ Driver doesn't carry change ▪ Long wait for receipt to process with expense account	No investment in new technology- monopoly conditions	Credit card preregistered; no need to process card at end of trip; receipts automatically captured and available online

Galvanizing The Organization



"Org Charts" Comic (2011) by Manu Cornet

Inflection points challenge the assumptions of how you run your business

1. They can change the pool of resources that are being contested.
2. They can change the parties trying to grab some of that pool of resources.
3. They can change the situation in which the contest takes place.
4. They can cause one job to squeeze another out of an actor 's consideration set or reduce the resources available to do that job.
5. They can meaningfully change the consumption experience.
6. They can lead to some attributes becoming more or less valued than others.
7. They can change the kinds of capabilities embedded in a value chain that are relevant.
8. They can change every element of the arena.

The Innovation Proficiency Scale

Level 1: Extreme Bias Toward Exploitation

Level 2: Innovation Theater

Level 3: Localized Innovation

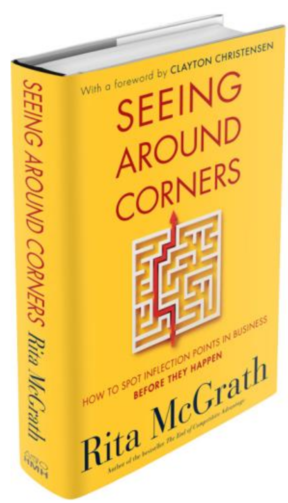
Level 4: Opportunistic Innovation

Level 5: Emergent Proficiency

Level 6: Maturing Proficiency

Level 7: Strategic Innovation

Level 8: Innovation Mastery



Thank You